

FEDERAL MARITIME COMMISSION

SAMSUNG ELECTRONICS AMERICA, INC.,

Complainant,

v.

ORIENT OVERSEAS CONTAINER LINE
LIMITED AND OOCL (EUROPE) LIMITED,

*Respondents and Third-Party
Complainants,*

v.

SAMSUNG ELECTRONICS COMPANY, LTD.,

Third-Party Respondent.

Docket No. 24-17

Served: July 30, 2025

BY THE COMMISSION: Rebecca F. DYE,
Daniel B. MAFFEI, Max S. VEKICH, *Commissioners.*

Order Affirming Dismissal of Counterclaim

This case is before the Commission on an appeal of an order by the Administrative Law Judge (ALJ) dismissing with prejudice the counterclaim filed by Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively OOCL). *See* Order Granting Complainant's Motion to Dismiss Respondent[s']

Counterclaim (Doc. 38) (Mar. 31, 2025) (Order). Complainant Samsung Electronics America, Inc. (SEA) sought dismissal of OOCL's counterclaim that SEA had violated 46 U.S.C. § 41102(a), which bars knowingly and willfully obtaining or trying to obtain ocean transportation at less than applicable rates through certain types of "false" conduct "or any other unjust or unfair device or means." The ALJ found that OOCL's counterclaim was essentially that SEA's filing of this FMC action (Docket No. 24-17), primarily to recover alleged demurrage and detention overcharges it paid as a consignee, itself violated section 41102(a). The ALJ concluded that SEA's simple filing of its facially valid FMC complaint (most of which has now survived a motion to dismiss) could not be an "unjust or unfair device or means" under section 41102(a), which requires some allegation of fraud or concealment. The ALJ also concluded that such a complaint could not be considered an effort to obtain transportation at less than applicable rates, since an FMC claim would not have that result regardless of the outcome. The ALJ denied OOCL's alternative request to amend its pleading, concluding that doing so would be futile here.

On appeal, OOCL argues that the ALJ interpreted its counterclaim too narrowly, insofar as it was not limited to the filing of the FMC complaint. Instead, OOCL argues, the counterclaim extended to SEA's alleged earlier demands that OOCL refund the alleged overcharges and waive future charges. OOCL also now argues that the heart of its counterclaim is that SEA and its parent Samsung Electronics Company Ltd. (Samsung) signed and performed the service contracts while pursuing a secret plan to wrongly disclaim responsibility for the type of delays at issue.

The Commission affirms the ALJ's dismissal of the counterclaim. The primary focus of the counterclaim was that SEA's filing of this case itself violated section 41102(a). And the ALJ was correct that pursuing a facially valid FMC case cannot be an "unjust or unfair device or means" or an effort to obtain less than applicable rates under the statute. OOCL's counterclaim does also briefly mention SEA's alleged prior efforts to obtain refunds. But the

simple act of making such requests in the above factual context, which is all the counterclaim alleges, also cannot by itself support a section 41102(a) claim, as it appears to involve no more than an open disagreement about such charges, not the kind of fraud or concealment required under relevant precedent to plausibly allege an unfair device under section 41102(a). OOCL also argues in its brief that Samsung and SEA violated section 41102(c) by engaging in deception in the making and performance of the service contracts, specifically by obtaining lower rates than OOCL would have agreed to had it known the Samsung entities had a more constrained view of their responsibility for the delays than OOCL did. But the counterclaim that appears in OOCL's answer does not include such an allegation. Even if it did, it is not clear how such a scenario, which likewise appears to mainly involve disagreements about legal matters, could constitute the kind of fact-based deception required to plausibly allege an unfair device under section 41102(a).

Nevertheless, the Commission reverses the ALJ's denial of leave to amend OOCL's pleading. The ALJ's decision did not appear to fully consider the allegations actually made in the counterclaim, and OOCL also appears to have related allegations that it did not include. Thus, while it is not clear that even OOCL's briefing describes conduct that is likely to present a plausible claim under section 41102(a), it does not appear that amendment would necessarily be futile. And as the ALJ recognized, leave to amend should be freely given when justice requires.

I. BACKGROUND

A. Procedural history

SEA filed its administrative complaint in this matter in March 2024. *See* Verified Complaint (Doc. 1) (Mar. 26, 2024). The complaint alleged that OOCL had violated the Shipping Act in connection with "store door" deliveries of cargo to inland locations in six ways: Count I alleged unreasonable practices in handling cargo under 46 U.S.C. § 41102(c); Count II alleged retaliation under

46 U.S.C. §§ 41102(d) and 41104(a)(3); Count III alleged a refusal to deal under 46 U.S.C. § 41104(a)(10); Count IV alleged noncompliant demurrage and detention invoices under 46 U.S.C. § 41104(a)(15); Count V alleged unreasonable demurrage and detention charges under 46 U.S.C. § 41104(a)(14); and Count VI alleged unreasonable dispute resolution practices under 46 U.S.C. § 41102(c). *Id.* In May 2024, OOCL moved to dismiss all claims, and the ALJ granted OOCL's motion in part, dismissing Counts II and III because of a lack of sufficient factual allegations to support those claims. *See* Order Partially Granting Motion to Dismiss (Doc. 16) (Nov. 18, 2024). Neither party appealed the ALJ's dismissal order and the Commission chose not to review it. *See* Notice Not to Review (Doc. 22) (Dec. 19, 2024).

Meanwhile, OOCL filed an answer with a counterclaim mainly alleging that SEA had violated 46 U.S.C. § 41102(a)'s prohibition on obtaining or trying to obtain ocean transportation at less than applicable rates by pursuing its claims against OOCL in this matter. *See* Verified Answer (Doc. 19) (Dec. 12, 2024) (Answer) at 20-28. In January 2025, SEA moved to dismiss OOCL's counterclaim. *See* Complainant's Motion to Dismiss Respondents' Counterclaim (Doc. 24) (Jan. 6, 2025); Response to Complainant's Motion to Dismiss Respondents' Counterclaim (Doc. 29) (Jan. 21, 2025); Complainant SEA's Reply to Respondents' Response to Motion to Dismiss Respondents' Counterclaim (Doc. 30) (Jan. 28, 2025). SEA argued for dismissal on several grounds, including that OOCL had failed to meet the required pleading standard, that the counterclaim failed as a matter of law because filing an FMC complaint could not violate section 41102(a), and that the counterclaim violated the *Noerr-Pennington* doctrine. Order at 1. OOCL opposed the motion and also argued that, in the event its counterclaim was dismissed, it should be permitted to amend its pleading. *Id.* at 1-2, 5-6.

B. The ALJ's Order Granting Complainant's Motion to Dismiss Respondents' Counterclaim

In March 2025, the ALJ granted SEA's motion to dismiss the counterclaim with prejudice and denied OOCL's alternative request that it be permitted to amend. *See* Order. In dismissing OOCL's counterclaim, the ALJ found that, because OOCL's allegations were insufficient as a matter of law to establish a claim for a violation of 46 U.S.C. § 41102(a), OOCL's claim did not meet the standard of "plausibility" needed to survive a motion to dismiss. Order at 2, 4-5; *see* Fed. R. Civ. P. 12(b)(6); *Maher Terminals, LLC v. Port Auth. of N.Y. and N.J.*, FMC Docket No. 12-02, 2015 WL 9426189, at *12-13 (FMC Dec. 18, 2015).

OOCL's counterclaim alleged that SEA had violated 46 U.S.C. § 41102(a)'s prohibition on knowingly and willfully obtaining or trying to obtain ocean transportation at less than applicable rates by pursuing its claims against OOCL. *See* Order at 1-2. The ALJ noted that proving a section 41102(a) claim "requires three elements: (1) knowing and willful conduct; (2) through which, either 'directly or indirectly,' by means of the actions enumerated in the statute or through 'any other unjust or unfair device or means;' (3) respondent obtained or attempted to obtain ocean transportation at lesser rates." *Id.* at 3 (quoting *Rana v. Franklin*, FMC Docket No. 19-03, 2022 WL 1744905, at *7 (FMC May 25, 2022)). The ALJ considered the nature of OOCL's counterclaim and concluded that the conduct OOCL was complaining about amounted to pursuing an FMC complaint that was facially valid — since most of SEA's claims had survived OOCL's motion to dismiss — and that conduct could not be considered the type of fraud or concealment covered by the statute. *Id.* at 4-5. Thus, the counterclaim failed to satisfy the second element above. *Id.* at 5. In addition, the ALJ found that the counterclaim did not meet the third required element, attempting to obtain transport at less than applicable rates. *Id.* The ALJ reasoned that a successful claim could only result in a claimant getting such transport at appropriate rates, and an unsuccessful claim could not result in a claimant obtaining anything. *Id.*

Although the ALJ discussed SEA’s alternative argument that the counterclaim had failed to meet a heightened pleading standard, the ALJ ultimately concluded that that issue need not be decided, in light of the above conclusions. Order at 3-5. Similarly, the ALJ did not reach SEA’s *Noerr-Pennington* argument or its other arguments. *Id.* at 5.

Finally, the ALJ denied OOCL’s request that, in the event its counterclaim was dismissed, it be permitted to amend its pleading. Order at 5-6. The ALJ acknowledged that under the analogous Federal Rule of Civil Procedure 15(a)(2), leave to amend a pleading should be freely given when justice requires, and denial of leave is an abuse of discretion unless a judge provides a sufficient reason, one of which is “futility of amendment.” *Id.* at 5-6. The ALJ determined that amendment here would be futile, since there was no way that OOCL’s basic claim — that “initiating a facially plausible Shipping Act proceeding before the Commission” could violate section 41102(a) — could be repleaded so as to state a plausible claim. *Id.* at 6.

OOCL timely filed an appeal of the ALJ’s order, and SEA timely filed a response. *See* Respondents’ Appeal of Order Granting Complainant’s Motion to Dismiss the Counterclaim (Doc. 41) (Apr. 16, 2025) (Appeal); Complainant’s Reply to Respondents’ Appeal of the Order Granting the Motion to Dismiss Respondents’ Counterclaim with Prejudice (Doc. 47) (May 8, 2025) (Reply).

II. DISCUSSION

A. Standards of review

When the Commission reviews an appeal of an ALJ’s order of dismissal under 46 C.F.R. § 502.227(b) for failure to state a claim, the general standard of review is *de novo*, in accord with the relevant federal appellate court standard. *See Maher Terminals*, 2015 WL 9426189, at *5 (citing, *inter alia*, *Atherton v. D.C. Office of the*

Mayor, 567 F.3d 672, 681 (D.C. Cir. 2009) (“We review a dismissal for failure to state a claim under Federal Rule of Civil Procedure 12(b)(6) *de novo*.”)).

However, “the Commission reviews the ALJ’s decision to dismiss the complaint *with prejudice* — that is, without leave to amend — for abuse of discretion.” *Maier Terminals*, 2015 WL 9426189, at *5 (emphasis added). Still, as the ALJ here recognized, under the Federal Rules leave to amend should be “freely” given “when justice so requires.” Fed. R. Civ. P. 15(a)(2); *see* Order at 5. “Denial of leave to amend therefore constitutes an abuse of discretion unless the court gives sufficient reason, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments.” Order at 5-6 (quoting *Impact Prods., LLC v. Yang Ming Marine Transp. Corp.*, FMC Docket No. 24-10, 2024 WL 4474515, at *1 (ALJ Oct. 4, 2024) (cleaned up)).

The specific standard used to evaluate a motion to dismiss for failure to state a claim is facial plausibility. *See* Order at 2. In particular, a claimant must present “enough facts to state a claim for relief that is plausible on its face.” *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007); *see Maier Terminals*, 2015 WL 9426189, at *12. All facts alleged in a complaint must be accepted as true and all reasonable inferences drawn in the claimant’s favor. *See Maier Terminals*, 2015 WL 9426189, at *12-13. However, as OOCL itself noted in its earlier motion to dismiss in this matter, “[m]ere labels and conclusions or a formulaic recitation of the elements of a cause of action will not suffice, nor will naked assertions devoid of further factual enhancement.” Respondents’ Motion to Dismiss the Complaint (Doc. 10) (May 13, 2024) at 5 (citing *Twombly*, 550 U.S. at 555-57). In addition, courts ruling on motions under Rule 12(b)(6) generally cannot consider factual allegations raised only in later briefs. *See Maier Terminals*, 2015 WL 9426189, at *15.

B. The ALJ correctly dismissed OOCL’s counterclaim, which did not make the factual allegations of fraud or concealment needed to support a plausible claim under 46 U.S.C. § 41102(a).

The Commission affirms the ALJ’s dismissal of the counterclaim. The ALJ was correct that simply pursuing a facially valid case with the Commission, as SEA has done here, cannot support a plausible claim under 46 U.S.C. § 41102(a). OOCL’s counterclaim does appear to go beyond what the ALJ considered, in that it briefly alleges refund-seeking occurring prior to the FMC action. And OOCL’s brief includes allegations that appear to go even further, in claiming that Samsung was deceptive in signing and performing the service contracts at issue with a different and incorrect view of who bore the risk of the type of delays at issue. But the counterclaim against SEA that appeared in OOCL’s answer does not allege facts that can plausibly support a section 41102(a) claim, in particular failing to allege the required fraud or concealment.

1. General standards governing section 41102(a) claims

Title 46 U.S.C. § 41102(a) provides that a person “may not [(1)] knowingly and willfully, [(2)] directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, [(3)] obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.” *See* Order at 3; *Rana*, 2022 WL 1744905, at *7 (describing the violation by reference to the three elements identified in brackets above). In addition, although neither the ALJ nor the parties appear to refer to it, the Commission provided further guidance as to the scope of section 41102(a) in its 1993 Interpretive Rule currently at 46 C.F.R. § 545.2 (Unpaid ocean freight charges):

An essential element of the offense is use of an “unjust or unfair device or means.” In the absence of evidence of bad faith or deceit, the Federal Maritime Commission will not infer an “unjust or unfair device or means” from the failure of a shipper to pay ocean freight. An “unjust or unfair device or means” could be inferred where a shipper, in bad faith, induced the carrier to relinquish its possessory lien on the cargo and to transport the cargo without prepayment by the shipper of the applicable freight charges.

Consistent with the standards above, relevant case law confirms that the critical “unjust or unfair device or means” element of section 41102(a) requires conduct that involves fraud or concealment as to a factual matter. In the recent *Rana* case, the Commission explained that when a claimant alleges an “unfair device” other than the “false” examples enumerated in the statute itself, some type of “fraud or concealment” comparable to those examples is required. 2022 WL 1744905, at *8. In *Rana*, the Commission found that standard met where the respondent had made a series of false factual statements concerning her firm’s insolvency and failure to pay freight charges, in order to avoid paying those charges. *Id.* at *8, 12-13. By contrast, in another recent matter, an ALJ found that the standard required for a section 41102(a) violation was not met where there was no fraud or concealment in respondents’ openly communicated refusal to pay destination charges based on having received insufficient information to justify them. *See SeaFair USA LLC v. Sterling Container Line. Ltd.*, FMC Docket No. 22-34, 2024 WL 1741926, at *8-10 (ALJ Apr. 15, 2024).

Earlier cases also reflect the basic factual-deception standard described above. *See OC Int’l Freight, Inc., OMJ Int’l Freight, Inc., and Omar Collado*, FMC Docket No. 12-01, 2014 WL 5316336, at *5-6 (FMC July 31, 2014) (upholding a finding of a section 41102(a) violation where respondents misrepresented which party was acting as a non-vessel-operating common carrier, thereby

allowing an unauthorized party access to discounted rates under service contracts); *Rose Int'l, Inc. v. Overseas Moving Network Int'l, Ltd.*, FMC Docket No. 96-05, 2001 WL 37115381, at *59-69, 92 (FMC June 1, 2001) (finding a section 41102(a) violation where respondents created a sham corporation to circumvent tariff and bonding requirements and to enable unauthorized entities to access service contracts); *United States v. Open Bulk Carriers*, 727 F.2d 1061, 1064-66 (11th Cir. 1984) (finding no violation of a predecessor to section 41102(a) because there was no fraud or concealment in the consolidation of shipments and renegotiation of deadfreight penalties at issue); *Hohenberg Bros. Co. v. FMC*, 316 F.2d 381, 382-84 (D.C. Cir. 1963) (affirming an FMC order finding a violation of a predecessor to section 41102(a) where a shipper effectively obtained lower rates through a false classification as to the density of certain cotton being shipped).

2. The ALJ correctly determined that SEA's pursuit of this FMC proceeding does not present a plausible claim under section 41102(a).

The main focus of OOCL's counterclaim is that SEA's filing of this case itself violated section 41102(a), as the ALJ's analysis indicated. *See* Order at 4-5. The counterclaim did include factual allegations as to the making, content, and performance of the service contracts between the parties; SEA's October 2022 "demand" for reimbursement of demurrage, detention, and other charges; and the parties' interactions as to that demand. *See* Answer at 20-25. But in describing OOCL's specific legal claim under section 41102(a), OOCL concluded:

41. *In this proceeding, and in other proceedings before the Federal Maritime Commission, commenced by SEA against other ocean carriers, SEA is attempting to recoup the demurrage, detention and other costs that have been rightfully charged to and incurred by SEA, from entities that*

were not legally responsible for the charges SEA incurred due to its own fault, acts and omissions.

42. *In demanding refunds of charges imposed pursuant to the terms of the Service Contracts, and in demanding that OOCL waive future lawful charges, and in bringing legal proceedings against OOCL and other ocean carriers* in an attempt to seek recovery of demurrage, detention and other charges which have been properly assessed to SEA by virtue of its own acts and omissions, SEA has knowingly and willfully engaged in a unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply, all in violation of 46 U.S.C. § 41102(a) of the Shipping Act.

Id. at 27 (emphases added). The highlighted text shows that the specific “device or means” that the counterclaim alleges SEA used was primarily the “proceedings” it has brought before the FMC — this case and others — in addition to SEA’s alleged prior demands for refunds and waiver of future charges from OOCL, which will be addressed below.

The ALJ was correct that simply pursuing a facially valid FMC case, as SEA has done here, cannot constitute an “unfair device” or an effort to obtain less than applicable rates under the statute. See Order at 4-5. First, pursuing such a case cannot, in and of itself, present the fraud or concealment required to constitute an “unjust or unfair device or means” under the case law discussed above. See *Rana*, 2022 WL 1744905, at *8; *SeaFair*, 2024 WL 1741926, at *8-10. Commission administrative adjudications are open and subject to an extensive set of rules designed to provide just and fair proceedings. See 46 C.F.R. Part 502 (Rules of Practice and Procedure). Thus, in this respect the counterclaim failed to satisfy the second element above. See Order at 5.

OOCL challenges the ALJ's determination as to the FMC proceeding, but its claims are incorrect. OOCL makes an initial argument, presumably intended to apply to all its objections to the ALJ's order, that the ALJ "appears" to have applied the "wrong standard" in evaluating the facial plausibility of its claims. *See* Appeal at 6-8. This argument seems to be based on the ALJ's consideration of SEA's argument that the ALJ should adopt the more demanding pleading standard under Federal Rule of Civil Procedure 9(b) for claims involving "fraud or mistake." *See* Order at 3-4. OOCL concedes that the ALJ explicitly stated that the ALJ did not need to reach that issue, and the ALJ clearly did not apply a Rule 9(b) standard, but OOCL nonetheless claims that the ALJ "appears to have accepted the argument and allowed it to affect his analysis..." Appeal at 6. However, OOCL provides no explanation or citation to support that claim, and we see no support for it. OOCL may disagree with how the ALJ applied the facial-plausibility standard under Rule 12(b)(6), but that does not show that the ALJ applied a higher standard. OOCL also claims that the ALJ "incorrectly cited...as a concurrence" Commissioner Khouri's opinion in *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, FMC Docket No. 09-01, 2011 WL 7144008, at *38 (FMC Aug. 1, 2011), but in fact the ALJ made clear that the opinion was "concurring in part" and "dissenting in part," and in any event that

it was not an opinion of the Commission itself. Appeal at 8 n.4; Order at 3-4.¹

OOCL also argues that “non-meritorious arguments in litigation” can alone constitute an “unfair device” under section 41102(a), apparently even without any allegation of fact-based fraud or concealment, but that argument is unavailing here. *See* Appeal at 16-17. OOCL relies on two cases, but each is more than 30 years old, each involved allegations of egregious, bad-faith conduct in refusing to pay amounts that appeared to be due, and in each case the opinion seemed to acknowledge that it was debatable whether section 41102(a) reached the conduct at issue. Whatever continuing force those two cases may have today as a general matter, they provide little guidance in the current case, where OOCL’s counterclaim contains no factual allegation that SEA’s pursuit of this facially valid agency adjudication involves the fraud or concealment required to establish the “unfair device” element under section 41102(a).

In the first case on which OOCL relies, a panel of the First Circuit upheld a Commission finding of a violation of a predecessor to section 41102(a). *See Capitol Transp., Inc. v. United States*, 612 F.2d 1312, 1323-24 (1st Cir. 1979). There, a consignee had engaged in an “unjustified and apparently unexplained avoidance of any

¹ Because the ALJ did not decide the issue of whether the more demanding pleading standard should apply to section 41102(a) allegations, the Commission need not reach that issue at this time. OOCL argues that the Commission has repeatedly declined to apply such a standard, and that the majority in the *Mitsui* case effectively rejected it. *See* Appeal at 6-8. SEA argues that the Commission should apply the higher standard if it reaches the issue, relying on federal case law and 46 C.F.R. § 502.12, which says that when no FMC rule applies, the agency will follow the Federal Rules “to the extent that they are consistent with sound administrative practice.” *See* Reply at 9-12. However, SEA does not dispute that the *Mitsui* majority rejected the argument that a higher standard should apply.

payment” of demurrage charges “found due and owing,” asserting in general terms that the billing was wrong but never specifically identifying any errors, which resulted in a failure “to present a legal defense of any substance” and a “calculated effort in bad faith to avoid” payment. *Id.* (cleaned up). However, the court seemed to struggle to fit even this egregious conduct into the requirement that the “unfair device” involve fraud or concealment, and in its final statement that it would uphold the agency determination, the court pointedly noted that the case “undoubtedly nears the outer limits” of the statute. *Id.* at 1324.

In the other case on which OOCL relies, a Commission ALJ determined that there was insufficient evidence at the summary disposition stage to decide whether an exporter, appearing *pro se*, had merely been engaging in a “stubborn but good-faith refusal to pay” freight charges or was instead “stalling and [] raising invalid defenses as a device to avoid payment” in bad faith. *Bank Line Ltd. v. Jet Set Marine, Inc.*, FMC Docket No. 91-58, 26 S.R.R. 380, 384-85 (ALJ May 8, 1992). The ALJ did seem willing to consider that the latter type of conduct might violate a predecessor to section 41102(a), but the decision is too tentative and remote from the current situation to carry much weight here.

In addition, the ALJ correctly found that OOCL’s counterclaim did not meet the third element required for a section 41102(a) violation, attempting to obtain transport at less than applicable rates, to the extent the counterclaim is based on SEA’s pursuit of this FMC proceeding. *See* Order at 5. The ALJ reasoned that a successful FMC proceeding could only result in a claimant getting such transport at appropriate rates, since any reparations adjusting those rates would be the result of the agency’s considered adjudicative decision, and an unsuccessful claim could not result in a claimant getting anything. *Id.* OOCL briefly challenges this determination, arguing that SEA’s efforts to “strongarm” OOCL and other carriers into refunding charges, “including this litigation,” were improper attempts to obtain lower rates. Appeal at 17-18. But including this FMC case in OOCL’s broader refund claim does

nothing to refute the ALJ's reasoning as to the potential results of a Commission proceeding. OOCL cites *Hohenberg*, but that case involved a shipper's direct request to a carrier for a refund, not an FMC action filed by the shipper. *See* 316 F.2d at 382-84.

Finally, although the ALJ did not make a determination regarding whether OOCL had adequately pled the first required element of a section 41102(a) claim, that the conduct at issue be "knowing and willful," the parties do include argument on that element. *See* Appeal at 12; Reply at 14. Establishing a knowing and willful violation requires, in essence, a showing that the party knew the factual conduct that constituted the violation and acted either intentionally or with reckless disregard or indifference to the law's requirements. *See Rana*, 2022 WL 1744905, at *8. In light of the recommended determinations above as to the other elements of a section 41102(a) violation, however, the Commission need not reach the knowing and willful issue at this time.

3. The bare-bones allegation in OOCL's counterclaim that SEA sought legally unjustified refunds does not present a plausible claim under section 41102(a).

OOCL is correct that its counterclaim extends to SEA's alleged efforts to obtain refunds of demurrage, detention, and other charges prior to filing this case. *See* Appeal at 12-13; Answer at 27. But the simple act of making such requests in the above factual context, which is all the counterclaim alleges, cannot by itself support a section 41102(a) claim, which requires some plausible allegation of fact-based fraud or concealment that constitutes an "unfair device." *See Twombly*, 550 U.S. at 555-57, 570 (a claim must allege sufficient facts to be plausible on its face).

OOCL's counterclaim fails to allege any fraud or concealment in its short descriptions of the alleged refund requests. The counterclaim describes an alleged October 2022 "demand" by SEA that OOCL refund demurrage, detention, and other fees on the

basis that OOCL was responsible for those charges. *See* Answer at 23. The counterclaim also describes later interactions between the parties on the subject, including a meeting at SEA offices in New Jersey. *Id.* at 24-25. Finally, the counterclaim asserts that “[i]n demanding refunds of charges imposed pursuant to the terms of the Service Contracts, and in demanding that OOCL waive future lawful charges, and in bringing legal proceedings against OOCL and other ocean carriers” to recover the charges at issue, SEA violated section 41102(a). *Id.* at 27. Nothing here indicates anything more than an open dispute about who is responsible for the charges.

OOCL now appears to argue in its brief that SEA knew that it was responsible for the charges under the arrangement the parties had when SEA sought the refunds, and that SEA “bullied” OOCL into the meeting the parties had about the refunds. Appeal at 12-14. However, the current counterclaim does not make those allegations, and courts evaluating the sufficiency of such claims generally cannot consider factual allegations raised only in later briefs. *See Maher Terminals*, 2015 WL 9426189, at *15. We note that it is not evident how such conduct could be construed to involve the kind of fraud or concealment required to allege a section 41102(a) violation in any case. OOCL relies heavily (Appeal at 13-14) on the *Hohenberg* case, but that case seems distinguishable. In *Hohenberg*, a shipper’s refund request was directed to a carrier as part of a scheme of concealment involving the misclassification of cotton density. *See* 316 F.2d at 382-84. Here, by contrast, OOCL appears to allege little more than a pre-complaint legal dispute about who was responsible for certain demurrage and detention charges. *See SeaFair*, 2024 WL 1741926, at *8-10 (finding no sufficient claim of fraud or concealment in respondents’ openly communicated refusal to pay destination charges). But in any event, the current counterclaim does not support such a claim.

4. OOCL now asserts that its allegations about deception in the making and performance of the service contracts are plausible section 41102(a) violations, but its counterclaim fails to make those allegations.

OOCL's brief argues that SEA and Samsung violated section 41102(c) by engaging in deception in the making and performance of the service contracts, specifically by obtaining lower rates than OOCL would have agreed to, had it known the Samsung parties had a more constrained view of their responsibility for delays than OOCL did. *See* Appeal at 15-16. But the current counterclaim does not make such an allegation, and so it does not constitute a facially plausible claim here.

OOCL now argues that the "crux" of its section 41102(a) claim is actually not that SEA has pursued its claims for refunds of late fees before the FMC, but that Samsung and SEA made and performed the service contracts, in which OOCL says it agreed to lower rates because SEA and Samsung were assuming responsibility for the type of delays at issue here, while all along maintaining a private, incorrect view that those delays would be OOCL's responsibility. Appeal at 15-16. In OOCL's view, this alleged conduct involves "concealing relevant facts" sufficient to constitute an "unfair device" under section 41102(a), and OOCL cites cases such as *Rana* in which a party concealed facts in order to obtain shipping at less than applicable rates. *Id.*

The fatal flaw in OOCL's argument here is that its current counterclaim does not contain such allegations. As noted above, the counterclaim does include factual allegations as to the making, content, and performance of the service contracts; it describes an alleged October 2022 "demand" by SEA that OOCL refund different types of late fees; it describes later interactions between the parties about such refunds; and it asserts that SEA's demand for refunds and its pursuit of this case seeking such a remedy violates

section 41102(a). *See* Answer at 20-27. But none of that alleges a plot to obtain lower rates by secretly harboring and later acting on erroneous views about who was responsible for the type of delays at issue. Once again, courts evaluating the sufficiency of such claims generally cannot consider factual allegations raised only in later briefs. *See Maher Terminals*, 2015 WL 9426189, at *15. Thus, the counterclaim does not allege facts sufficient to support a plausible claim. *See Twombly*, 550 U.S. at 555-57, 570.

We note that even if the counterclaim did contain the allegations OOCL makes in its brief, it is not evident that they would present the kind of fraud or concealment required to allege an “unfair device” under section 41102(a). The cases on which OOCL relies all appeared to involve some type of factual deception or misrepresentation inducing a carrier to carry or release cargo. *See* Appeal at 16. In *Rana*, for example, the respondent made false statements about her firm’s insolvency and failure to pay freight charges so as to avoid paying those charges. *See* 2022 WL 1744905, at *8, 12-13. Such fact-based deception is the hallmark of potential section 41102(a) violations. *See OC Int’l Freight*, 2014 WL 5316336, at *5-6 (respondents misrepresented which party was acting as a non-vessel-operating common carrier, thereby allowing an unauthorized party access to discounted rates under service contracts); *Rose*, 2001 WL 37115381, at *59-69 (respondents created a sham corporation to circumvent tariff and bonding requirements and to enable unauthorized entities to access service contracts); *Hohenberg*, 316 F.2d at 382-84 (a shipper obtained lower rates through a false classification as to the density of cotton being shipped).

Here, OOCL’s brief appears to be alleging that SEA had a secret plan to get lower rates by making a type of service contract under which it would be legally responsible for the type of delays at issue. Then, under this alleged plan, SEA would evidently cause or at least permit such delays to occur, and even pay OOCL the resulting late fees, but would later demand unjustified refunds based on the incorrect claim that OOCL was responsible for the delays.

Even that scenario seems less like the kind of fact-based fraud or concealment seen in successful cases and more akin to a disagreement about legal matters, which is not sufficient to support a section 41102(a) claim. *See SeaFair*, 2024 WL 1741926, at *8-10 (no sufficient claim of fraud or concealment found in respondents' openly communicated refusal to pay destination charges); *Open Bulk Carriers*, 727 F.2d at 1064-66 (no violation of a predecessor to section 41102(a) because there was no fraud or concealment in the consolidation of shipments and renegotiation of deadfreight penalties).

SEA also raises the issue of its status as a consignee, arguing that it could not be subject to section 41102(a) because it did not arrange for "ocean transportation" under the statute; instead, its parent Samsung did. *See Reply* at 16-17. That argument does not seem to be correct as to OOCL's claims about SEA's efforts to get refunds of late fees — section 41102(a) applies not just to "rates" but also to "charges," and *SeaFair* and *Capitol Transport*, which SEA itself cites, involved consignees' obligations to pay demurrage or comparable charges. *See Reply* at 15, 16; *SeaFair*, 2024 WL 1741926, at *8-10; *Capitol Transport*, 612 F.2d at 1323-24. But SEA's consignee claim may have more force as to OOCL's broader argument that Samsung made and performed the service contracts with some sort of fraud or concealment as to the rates obtained for ocean carriage, since OOCL does allege that it was Samsung that actually made the service contracts, with SEA as an "affiliate." *See Answer* at 20-21.

In any event, at this time it is only necessary to decide that OOCL's current counterclaim does not contain allegations to support the argument in its brief regarding SEA's alleged deception in the negotiation and performance of the service contracts.

C. **OOCL should be granted leave to amend its counterclaim.**

The Commission reverses the ALJ's denial of leave to amend OOCL's pleading. *See* Order at 5-6; Appeal at 18-19. The ALJ's denial was based on the futility of amendment, but in reaching that conclusion, the ALJ did not fully consider the allegations in the counterclaim, and OOCL's brief indicates that it has related allegations that it failed to make. Therefore, it does not appear that amendment would necessarily be futile. And as the ALJ recognized, leave to amend should be freely given when justice requires.

The ALJ's Order acknowledged that under the analogous Federal Rule of Civil Procedure 15(a)(2), leave to amend a pleading should be freely given when justice requires, and denial of leave is an abuse of discretion unless a judge provides a sufficient reason, such as "futility of amendment." Order at 5-6. The ALJ determined that amendment here would be futile, reasoning that there was no way OOCL's basic claim that SEA's filing of this FMC case violated section 41102(a) could be repleaded so as to state a plausible claim. *Id.* at 6. That reasoning is correct as far as it goes, but it is not the end of the relevant analysis.

OOCL is entitled to amend its pleading to attempt to state a plausible claim under section 41102(a) here. As explained above, OOCL's counterclaim did include a brief allegation that SEA's prior requests for refunds violated section 41102(a), which the ALJ did not address. In addition, OOCL's brief argues that the heart of its section 41102(a) claim relates to the making and performance of the service contracts themselves, specifically through Samsung and SEA's alleged plan to obtain lower rates by agreeing to a certain allocation of responsibility for delays, then taking a contrary position later. In the current situation, OOCL should be given at least one chance to allege a plausible claim along these lines, under the liberal standard that applies. As OOCL emphasizes (Appeal at 18-19), in *Maier Terminals* the Commission endorsed a high standard for dismissals of claims with prejudice, particularly

dismissals that relied on futility, and the Commission noted that federal courts generally permit a claimant to amend at least once “where a more carefully drafted complaint might state a claim.” 2015 WL 9426189, at *39 (cleaned up); *see id.* at *39-40. This is OOCL’s first request to amend in this case. And as explained above, although it is not evident that the additional conduct OOCL has described would present a plausible claim under section 41102(a), it is also not clear that such an amendment would necessarily be futile. Thus, although the ALJ’s decision on this issue is reviewed under a deferential standard, that decision fell outside the ALJ’s discretion.

Although the ALJ based the denial of leave to amend solely on futility, SEA also argues that permitting amendment would cause undue delay, noting that its original complaint was filed in March 2024. *See* Reply at 18. However, SEA does not make an adequate showing of undue delay at this point, where there has been no prior amendment to the counterclaim, and no showing of significant delay related to that particular claim. OOCL made its counterclaim in its December 2024 answer, following resolution of its motion to dismiss, and OOCL asked to amend that claim, as an alternative remedy to dismissal, in its January 2025 response to SEA’s motion to dismiss. *See* Answer at 20-28; Response to Complainant’s Motion to Dismiss Respondents’ Counterclaim at 12-13. In these circumstances, there has not been a showing of undue delay.

III. CONCLUSION

The Commission hereby:

DENIES OOCL's April 16, 2025 Appeal, and
AFFIRMS the ALJ's March 31, 2025 Order,
except to the extent the Order denied OOCL
leave to amend its pleading with regard to its
counterclaim; and

REMANDS the matter to permit OOCL to
amend its pleading in that respect.

By the Commission.

David Eng
Secretary